

CRNC
CRNC N/A

Hold	\$10.36 ▼ 0.96%	12M Price Target \$12.50	52-Week Range \$5.85 – \$13.74	Market Cap \$468M
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CRNC: Voice AI Underdog Slowly Rebuilding Post-Earnings

WHAT HAPPENED

- Stock drifted down ~1% on tiny volume (90K vs. usual 500K+) — this isn't news-driven, it's just quiet summer drift. The bigger story is the setup: CRNC is sitting at 57% of its 52-week range after missing Q2 earnings in May, and the market is basically waiting for the next data point.
- The BYD partnership expansion (LLM-powered in-car AI) announced in May is the real thing to anchor on — that's their toehold in China's biggest EV maker, and it's the closest thing to a growth catalyst they have right now.

WHY IT MATTERS

Here's what I keep coming back to: CRNC is a \$468M market cap company that's essentially a bet on whether legacy automakers pay them more per car as voice AI gets smarter — and that bet is getting squeezed from two sides. On one side, the White House's escalating auto tariff regime (25% on imported vehicles, new 15% "reciprocal" tariffs on EU-made cars) is slowing global auto production, which directly hits CRNC's royalty revenue because they get paid per vehicle shipped. On the other side, SoundHound (SOUN) is eating their lunch on new deals with a fresher tech stack. The bullish signal — 81% institutional ownership plus a 0.53 put/call ratio (meaning ~2x more bullish bets than bearish ones) — tells me the "smart money" thinks the floor is in around \$6, but nobody's pounding the table for a moonshot either.

POLICY & POLITICAL WATCH

The single biggest policy lever on CRNC right now is auto tariffs — the Trump administration's Section 232 tariff framework on autos and auto parts is still in flux, with negotiations ongoing with Japan and Korea (huge CRNC customers via Toyota, Hyundai, Nissan). If those tariffs stick or escalate, global auto SAAR (seasonally adjusted annualized rate of car sales — basically how many cars get made) drops, and CRNC's per-vehicle royalties drop with it. The wildcard tailwind: the bipartisan push on "AI in critical infrastructure" standards could actually help CRNC because they're already embedded in OEM safety-critical systems — but that's a 2027 story, not a 2026 one.

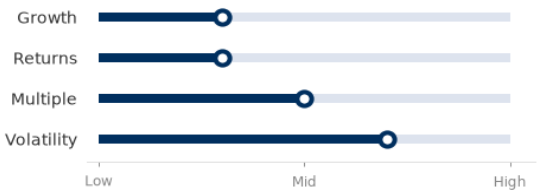
IS IT EXPENSIVE?

At ~\$468M market cap on ~\$235M expected revenue, you're paying about \$2 for every \$1 of revenue — that's cheap for an "AI" name (SOUN trades at 15x+), but that discount exists for a reason: CRNC isn't really growing and they're still losing money. The right way to think about it: this isn't a growth stock priced like a growth stock, it's a beaten-down turnaround priced like one. Fair value depends entirely on whether they can stabilize revenue around \$250M and get to breakeven — if yes, \$13-15 is reasonable; if no, \$7 is the floor.

Key Data

Price (USD)	\$10.36
12M Price Target	\$12.50
Upside / (Downside)	+20.7%
Market Cap	\$468M
FY2026E Revenue	\$235M
FY2027E Revenue	\$250M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.15)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$12.00	\$10.50	\$9.00
6 Months	\$14.50	\$11.50	\$8.00
1 Year	\$17.00	\$12.50	\$7.00
2 Years	\$22.00	\$15.00	\$6.00
5 Years	\$35.00	\$18.00	\$4.00
10 Years	\$60.00	\$25.00	\$3.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.3%) and Consumer Staples are catching a bid — that's classic defensive rotation, meaning investors are getting nervous about growth and hiding in boring stuff. Comm Services holding up (+1.6% over 5 days) suggests megacap tech is still the safety trade.

COOLING OFF: Industrials weak (-1.1% over 5 days) which is auto-tariff related — this is the tell for CRNC because auto suppliers are in this bucket.

ROTATION WATCH: Money is moving OUT of cyclicals (autos, industrials) and INTO defensives — that's a headwind for CRNC because they're basically an auto supplier in disguise.

RELATED PLAY: If you want the voice-AI theme without the auto exposure, SOUN is the growth alternative (but 5x more expensive on revenue multiples); if you want the auto-tech recovery, Mobileye (MBLY) is a better balance sheet and clearer growth story.

WHO'S WINNING IN THIS SPACE?

- SOUN (SoundHound AI): Winning the narrative war on voice AI with restaurant, auto, and enterprise pipeline growth — they're the momentum trade, CRNC is the value trade.
- MBLY (Mobileye): Better positioned in auto-tech because ADAS (driver-assistance) is mandated growth, not optional feature spending.

CRNC CONTEXT: CRNC is lagging its voice-AI peer (SOUN) badly on both growth and multiple, which tells me the market has already decided who the "winner" is — for CRNC to re-rate, they need to prove SOUN isn't taking their auto deals, and that story hasn't been told yet.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative)

Entry Points: \$8.50-9.50 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Loss of a major automaker contract or another Q with declining royalty per car

Hedging: Pair with a long in a profitable auto-tech name like MBLY or a short on SOUN